Illustrative DCF Analysis

HappyHour Co.

Indicative Bid Valuation — Round 1 | WorldWide Brewing Co.

- Summary financials and cash flow (FY18A – FY30E)
- Net present value based on Perpetuity Growth Method (WACC 7.5% | TGR 3.0%)
- Sensitising firm value and implied 60% stake price to WACC and TGR / Exit Multiple
- Indicative bid recommendation for WorldWide Brewing Co.

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Illustrative DCF Analysis — HappyHour Co.

1 Summary Financials & Cash Flow | **2 NPV — Perpetuity Growth Method** | **3 Sensitivity Analysis**

	FY18A	FY19A	FY20A	FY21E	FY22E	FY23E	FY24E	FY25E	FY26E	FY27E	FY28E
Revenue ($mm)	900	961	1,071	1,200	1,319	1,438	1,553	1,662	1,745	1,832	1,924
YoY Growth	—	*6.8%*	*11.4%*	*12.0%*	*10.0%*	*9.0%*	*8.0%*	*7.0%*	*5.0%*	*5.0%*	*5.0%*
EBITDA ($mm)	225	250	300	348	389	431	474	515	541	568	596
EBITDA Margin	*25.0%*	*26.0%*	*28.0%*	*29.0%*	*29.5%*	*30.0%*	*30.5%*	*31.0%*	*31.0%*	*31.0%*	*31.0%*
FCFF ($mm)	—	—	—	236	265	295	325	354	372	391	410
	Actuals							*J.P. Morgan Estimates*			

Enterprise Value Bridge (WACC 7.5% | TGR 3.0%)

Sum of PV of FCFs (FY21E – FY30E)	US$mm	2,327
PV of Terminal Value (PGM, 3.0% TGR)	US$mm	5,024
Implied Enterprise Value	US$mm	**7,350**
Less: Net Debt at Transaction	US$mm	(85)
Implied Equity Value	US$mm	**7,266**
60% Stake Value (Happy Family)	US$mm	**4,360**
EV / FY20A EBITDA cross-check (EBITDA = $300mm)		

DCF — PGM (EV $7,350mm)	**24.5×**
DCF — Exit Multiple (EV $5,677mm)	**18.9×**
Broker Comps (10.0× – 11.5×)	**10.0× – 11.5×**
Seller Preliminary Valuation	**11.7×**

Sensitivity: 60% Stake Value (US$mm) — WACC vs. TGR (PGM)

WACC \ TGR	2.0%	2.5%	3.0%	3.5%	4.0%
7.0%	4,196	4,524	4,934	5,462	6,165
7.5%	3,788	4,045	**4,360**	4,753	5,258
8.0%	3,448	3,653	3,900	4,202	4,579
8.5%	3,160	3,327	3,525	3,762	4,051
9.0%	2,915	3,052	3,212	3,402	3,629

Sensitivity: 60% Stake Value (US$mm) — WACC vs. Exit EBITDA Multiple

WACC \ Mult	9.0×	9.5×	10.0×	10.5×	11.0×	11.5×
7.0%	3,187	3,287	3,387	3,488	3,588	3,688
7.5%	3,068	3,164	3,260	**3,355**	3,451	3,547
8.0%	2,955	3,047	3,138	3,229	3,321	3,412
8.5%	2,847	2,935	3,022	3,109	3,196	3,284
9.0%	2,744	2,828	2,911	2,994	3,078	3,161

Indicative Bid Recommendation — WorldWide Brewing Co.

DCF (PGM): EV $7,350mm | 60% Stake $4,360mm **DCF (Exit 10.5×):** EV $5,677mm | 60% Stake $3,355mm **Broker Comps (10×–11.5×):** EV $3,000–$3,450mm | 60% ~$1,749–$2,019mm

RECOMMENDED BID: EV US$3,200mm – US$3,600mm | 60% Stake ~US$1,869mm – US$2,109mm | Implied EV/FY20A EBITDA: 10.7× – 12.0×

Source: Company website; Broker industry reports; News articles; J.P. Morgan analysis. Note: Base case WACC 7.5%, TGR 3.0%, Exit Multiple 10.5×. All figures US$mm unless stated.

HappyHour Co. — Key Modelling Assumptions

Parameter	Assumption	Source
Transaction Date	March 2020	Process Letter
Valuation Date	FY20E (Jun 2020)	Indicative Bid basis
Stake Acquired	60%	Happy Family (controlling)
Seller Preliminary EV	US$3,500mm	Press article
DCF Horizon	10 years (FY21E–FY30E)	Normalised horizon
Risk-Free Rate	3.5%	Bloomberg, Mar 2020
Equity Risk Premium	5.5%	Damodaran Asia ERP 2020
Beta (Relevered)	0.90×	Peer set: APB, ThaiBev, Kirin
Cost of Equity	8.5%	CAPM: Rf + β × ERP
Pre-tax Cost of Debt	4.5%	Assumed IG-grade credit
Tax Rate	17.0%	Singapore corporate tax rate
Target D/(D+E)	25%	Asian bev sector average
WACC (Base)	7.5%	Rounded; used in DCF

Parameter	Assumption	Source
Perpetuity Growth Rate	3.0%	Asia beer CAGR ~10%; GDP proxy
TGR Sensitivity Range	2.0% – 4.0%	Sensitivity table
Exit EBITDA Multiple	10.5×	Midpoint broker range 10.0–11.5×
FY21E Revenue Growth	12.0%	China expansion; Asia CAGR ~10%
FY22E Revenue Growth	10.0%	ASEAN + China growth
FY23E Revenue Growth	9.0%	Tapering as base grows
FY24E Revenue Growth	8.0%	Cambodia facility contribution
FY25E Revenue Growth	7.0%	Market share consolidation
FY26E–30E Revenue Growth	5.0%	Long-run ASEAN normalisation
EBITDA Margin FY20A	28.0%	Actual ($300mm / $1,071mm)
EBITDA Margin FY21–25	29%–31%	Operational leverage expansion
Capex (% Revenue)	4.0%	Manufacturing; Cambodia facility
D&A (% Revenue)	3.5%	Consistent with peer asset intensity

Color Convention: Hardcoded inputs / assumptions | Formulas and calculations | Cross-sheet links

Source: Bloomberg (Mar 2020); Damodaran Asia ERP (2020); Broker Industry Report; J.P. Morgan analysis